

buying costs are:

Price of apartment: 50L ^[27]

Rent: 20k per month = 2.4L per year

P/R ratio = $50/2.4 = 20.8$

As a fast hand rule ^[28], if this number is:

P/R is 20 - buying is expensive - wait for it to drop

P/R is 25 - Rent forever, eat KFC daily and buy that latest iPhone without busting your kidney

If I buy a home, I will buy when the ratio drops to 13 or lower (30L home at 20k rent). When that's the case, renting has become expensive and buying is a better option. Until then, I'm better off building up my savings by renting an apartment and investing in the equity markets.

Factor #2: The whole concept of this *buy vs. rent* argument is a forever game with people leaning on either side of the fence and staunchly defending their views. In fact, if you've done the math, and renting seems expensive then it's time to look at the qualitative reasons. Instead of sitting on the fence about buying or renting, think about:

- How long you'll be in the neighborhood?
- Is the neighborhood the ideal location for work transit?
- Do your children have the ideal place to grow up?

"I'm glad you are here with me. Here at the end of all things Sam"

- Frodo, J.R.R. Tolkien, The Return of the King

Before finalizing 'how to invest', let's look at gold.

4) Gold:

Two factors that determine whether gold is a reliable investment idea:

- 1) Gold in Indian Rupees depends on US Dollar rate of gold and the USD-INR exchange rate. Both these have their own ups and downs. As a result, more often, tracking gold prices in INR is more volatile than stocks ^[29].